# Fed Day Reckoning

*FOMC decision day arrives as Israel eliminates Iran's intelligence chief and oil rips higher.*

## MARKETS

**TWO DAYS GREEN INTO THE FED. S&P; +0.26% to 6,708 (SPY $670.79). Nasdaq +0.49%. Russell +0.45%. Dow +0.13%. UVXY –1.74%. The advance was narrow and grinding—not the broad thrust of an inflection—but it's the first back-to-back gains since before the Hormuz blockade. Equities are looking through the oil spike and toward this afternoon's FOMC decision. The question is whether Powell validates that optimism or destroys it.**

Oil ripped back above $100 WTI. USO +3.31%, BNO +3.65%. The catalysts: a projectile struck near Iran's Bushehr nuclear plant, a drone hit the US embassy compound in Baghdad, and Iran announced a "new protocol" for the Hormuz Strait—language that signals tighter transit controls, not looser. Shipping insurance costs to cross Hormuz have soared. Monday's de-escalation trade is dead. Energy led sectors at +1.05%, with VLO +1.46%, OKE +1.45%, and CVX +0.57%.

The GTC semi bid carried into Day 2. LRCX led IOWN at +3.22%—now +6.7% in two sessions, breaking above its 50-day moving average. TSM +1.69%, QCOM +1.70%, ADI +0.88%, NXPI +1.11%. NVDA itself faded –0.70% to $181.93—a classic "sell the headliner, buy the ecosystem" rotation. Supply chain names outperforming the platform company is consistent with a maturing AI capex cycle. KEYS launched an AI inference emulation platform and advanced ultra-ethernet demos at OFC 2026—physical AI infrastructure materializing in real time.

The Fed decision arrives at 2 PM ET. A hold at 3.50–3.75% is certain. The dot plot is the only variable. Three scenarios: (1) median holds at one cut with "supply shock" language—equities rally, bonds rally, dollar weakens; (2) median shifts to zero cuts—bonds sell, 200DMA test resumes within days; (3) surprise hawkish dissents citing energy-driven inflation—worst case. Powell's presser will be parsed for whether the Fed views the oil shock as transitory or structurally inflationary. He has two meetings left before Warsh succeeds him in May.

TLT +0.28%—bonds quietly catching a bid for a second straight session. Fear & Greed at 26, up from 16 last week but still firmly in Fear. The improvement is incremental, not transformational. The unusual dynamic: equities and oil rising simultaneously. Stocks are pricing in a dovish Fed; oil is pricing in an escalating war. Both can't be right. The resolution of this divergence is the next major portfolio event.

***IOWN Tactical: S&P; at 6,708—now 100 points above the 200DMA (~6,608). Two days green, but equities and oil rising together is unstable. If the dot plot confirms one cut, stocks hold. If zero cuts, the oil-plus-hawkish-Fed double hit sends us right back to support. Today is the fork. Simplicity Over Complexity—wait for the signal before acting.***

## GEOPOLITICS

**DAY 19 — DECAPITATION REACHES THE INTELLIGENCE CORE. Israel confirmed overnight it killed Esmail Khatib, Iran's Intelligence Minister. The list now includes Khamenei Sr. (Day 1), IRGC chief Salami, security council secretary Larijani (Day 18), and Khatib. The elimination campaign has moved from political to military to intelligence. Iran executed a man accused of spying for Israel—a sign the regime is turning inward, hunting the leaks that enable near-real-time targeting. Someone inside the Iranian state is cooperating.**

Escalation broadened on two fronts. A projectile hit near Iran's Bushehr nuclear plant—no damage, but Russia's Rosatom condemned the strike on what it considers Russian-supplied infrastructure. An Australian report confirmed an Iranian projectile struck a UAE airbase; all personnel safe. A drone hit the US embassy compound in Baghdad. The war is no longer Israel-Iran bilateral—it's pulling in Iraq, UAE, and potentially Russia as stakeholders. Iran's statement that its "nuclear doctrine is unlikely to change" is meant as reassurance but reads as a ceiling: no nuclear breakout, but no capitulation either.

Iran announced the Strait of Hormuz "needs a new protocol," rejecting the status quo ante. This kills the narrative that bilateral tanker deals would gradually normalize traffic. Tehran views Hormuz control as a permanent lever, not a temporary wartime tactic. Trump slammed NATO allies for not joining the war effort but said the US "never needed their help." Japan's PM is in Washington today with Hormuz at the top of the agenda. Sweden's security service named Russia, China, and Iran as the three main threats—the war is reshaping European threat assessments in real time.

## ON OUR RADAR

**1. FOMC at 2 PM ET is the binary event.** Rate hold is priced in. The dot plot median is the trigger. One cut held = relief rally, possibly S&P; back to 6,750+. Zero cuts = bonds sell, dollar spikes, 200DMA test resumes within a week. Powell's language on "supply shock" vs. "persistent inflation" tells you whether the Fed is leaving

the door open to cut later this year or slamming it shut. Position sizing should be light until we see the dots.

**2. Oil and equities rising together is a divergence that resolves violently.** S&P; +0.26%, Brent +3.65% in the same session. Stocks price a dovish Fed; oil prices an escalating war. Both can't be right. If the Fed is hawkish, oil stays bid and stocks collapse. If the Fed is dovish, stocks run but oil eventually chokes margins and earnings. This is the central tension in the portfolio right now.

**3. PDD reports today—China consumer read.** Consensus EPS $21.05. The stock is down ~40% from 2024 highs. The report matters beyond PDD: it's the cleanest read on Chinese consumer spending during a global oil shock. If Temu/Pinduoduo domestic demand holds, the China recession narrative weakens. Watch guidance more than the beat.

**4. LRCX is the GTC standout—+6.7% in two sessions.** Breaking above its 50-day. TSM +1.69%, QCOM +1.70%, NXPI +1.11%. NVDA faded –0.70%—the market is rotating from the platform to the supply chain. KEYS launched its AI inference emulation platform at OFC 2026. The physical AI infrastructure thesis is being built in front of us. These names were down 15–25% from highs two weeks ago; the GTC catalyst is providing the entry we've been watching. Research Reveals Opportunities.

**5. FINV +12.57% on a dividend hike—small name, big signal.** FinVolution raised its annual dividend 10.5% to $0.306/ADS. ATAT +5.98% on hotel expansion guidance. Our China-adjacent growth names are quietly working while headlines focus on war. Capital return discipline during global risk-off is exactly what Think Like an Owner means.

**6. Gasoline prices may accelerate the EV transition.** Reuters reports the Iran war gasoline spike is pushing consumers toward EVs and hybrids faster than any policy could. If $4+ gas persists through summer, EV adoption accelerates and utility demand for grid build-out increases. NEE, EIX, and the broader electrification theme get a wartime tailwind. The physical world keeps asserting itself. Avoid Erosion.

For internal IOWN investment committee use only. Not investment advice. Information from public sources believed reliable. Past performance not indicative of future results. IOWN is an RIA under Paradiem.